

The Top Open Source **CRYPTOCURRENCY** Wallets



The interest in cryptocurrencies has perked up with Facebook announcing its intention to venture into GlobalCoin, a cryptocurrency for payments, purchases and services on its social media website. Discover more about cryptocurrencies and the top cryptocurrency wallets in this article.

Cryptocurrency, also defined as digital money, can be used to purchase goods and services. It is electronic money created by technology that controls how it is created, protects transactions and handles the identities of its users. Cryptocurrency (a mashup of the words cryptography and currency) is computer technology that is used for security, hiding information, identities and more. Currency simply means 'money currently in use'. It is designed to be quicker, cheaper and more reliable compared to legacy currencies issued by national governments.

In the case of cryptocurrency, users transact directly with each other and store their money themselves. They can send money by themselves without any middleman, while transactions are affordable and fast. To maintain the integrity and authenticity of transactions, every user of the cryptocurrency can simultaneously record and verify his or her own transactions, as well as the transactions of everyone else. The record of all the digital transactions is called the ledger and this is publicly available to anyone. The first cryptocurrency was Bitcoin.

Bitcoin was first created in 2009 by Satoshi Nakamoto. It does not rely on government money and transactions but is transacted between anonymous people without any banks or middlemen. Every transaction is recorded on a digital record kept by many people across the world known as the blockchain. Bitcoin is a virtual monetary unit and therefore has no physical representation.

A Bitcoin unit is divisible and can be divided into 100 million Satoshis, the smallest fraction of a Bitcoin. The Bitcoin blockchain is a data file that carries the records of all past Bitcoin transactions, including the creation of new Bitcoin units. It is often referred to as the ledger of the Bitcoin system. The Bitcoin blockchain consists of a sequence of blocks, where each block builds on its predecessors and contains information about new Bitcoin transactions. The average time between Bitcoin blocks is 10 minutes. The first block, block #0, was created in 2009; and, at the time of this writing, block #494,600 was appended as the most recent one to the chain. Because everyone can download and read the Bitcoin blockchain, it is a public record, a ledger that contains Bitcoin ownership information for any point in time.